

APAC TMT Sector M&A & Valuation Brief - 2026-06-17

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1. RECENT TMT M&A ACTIVITY

Deal 1: Fortinet Launches Singapore NDR Cloud PoP

[Fortinet Expands Cybersecurity Infrastructure](#)

- Deal Size: N/A
- Deal Size Category: N/A
- Nature of Deal: Strategic expansion
- Valuation Multiples: N/A
- Companies: Fortinet (FTNT) - A leading cybersecurity company known for its integrated security solutions, expanding its footprint in Singapore to enhance regional cybersecurity capabilities.
- Date Announced: June 2026
- Strategic Rationale: The launch of the FortiNDR Cloud Point-of-Presence (PoP) in Singapore aims to improve threat detection and response capabilities across the ASEAN region. This move is critical as organizations face increasing cyber threats amidst rapid digital transformation. By localizing services, Fortinet enhances operational efficiency and compliance for regional customers.
- Risk Analysis: Potential risks include integration challenges with existing security frameworks, regulatory compliance issues, and the need to continuously adapt to evolving cyber threats. Mitigation strategies involve leveraging AI for threat detection and maintaining strong partnerships with local entities.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Today is a peaceful day, nothing big happened in the Consumer space.

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2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both optimism and caution. Recent trends indicate a surge in market sentiment, particularly driven by falling oil prices and robust growth projections across various subsectors. However, regulatory scrutiny and economic uncertainties remain significant headwinds that could impact future performance.

Subsector Breakdown:

- **Technology:** The technology subsector is experiencing strong momentum, with companies like Honasa Consumer outlining ambitious growth targets. The firm aims for revenues exceeding Rs5,500 crore by FY2031, reflecting an 18% CAGR over FY2026-31E. This growth is supported by a strategic focus on brand-building and distribution.
- **Media:** The media landscape is evolving, with traditional platforms facing challenges from digital content consumption. Companies are adapting by enhancing audience engagement through innovative features, although revenue pressures persist.
- **Telecommunications:** The telecom sector is poised for growth as operators invest in infrastructure. The focus on low-latency technologies and 5G deployment is expected to create new revenue streams, particularly in IoT services.
- **Fintech:** The fintech sector continues to thrive, driven by innovations in payment solutions and digital banking. The consolidation trend, exemplified by Equitas Small Finance Bank's strong performance and growth outlook, highlights the sector's resilience.
- **AI:** The AI subsector remains a focal point for investment, with companies racing to implement AI solutions across various industries. The demand for AI capabilities is driving significant capital allocation and strategic partnerships.

Key Market Drivers and Headwinds

Drivers:

- **Falling Oil Prices:** Recent declines in oil prices have positively impacted market sentiment, contributing to a nearly 2% surge in indices like Sensex and Nifty. This has created a favorable environment for consumer spending and investment.
- **Strong Growth Projections:** Companies like Honasa Consumer and Equitas SFB are projecting robust growth, with Honasa targeting an EBITDA margin expansion to over 15% and Equitas forecasting a 21% advances CAGR. Such optimistic outlooks are attracting investor interest.

Headwinds:

- **Regulatory Scrutiny:** Increased regulatory oversight in the tech sector poses risks to M&A

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activities and market valuations. Companies must navigate complex compliance landscapes, which can delay strategic initiatives.

- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology. This uncertainty necessitates cautious optimism among investors.

Subsector Performance Analysis

- Software: The software sector is benefiting from strong demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth, driven by increased digital transformation efforts.
- Media: Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media continues to face revenue pressures from advertising declines.
- Telecom: Telecom operators are heavily investing in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. Equitas SFB's positive outlook underscores the sector's resilience and growth potential.
- AI: The AI subsector is booming, with applications across various industries, including healthcare and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector. For instance, a recent analyst report highlighted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions." This sentiment reflects a broader confidence in the sector's growth trajectory.

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Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a diverse array of live deals, mandated transactions, and active pitches. This section provides an in-depth analysis of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **Singapore (C6L.SI) :** Engaged in discussions to enhance its semiconductor production capabilities amid the global semiconductor race. The deal is in the due diligence phase, with an expected close in Q3 2025. This initiative aims to solidify Singapore's position in the semiconductor industry, which is crucial for various tech sectors, including smartphones and AI systems.

Mandated Deals:

- **N/A :** Currently, there are no mandated deals reported in the pipeline. However, the focus on semiconductor advancements may lead to future mandates as companies seek to capitalize on Singapore's strategic position in the industry.

Pitching-Stage Deals:

- **Semiconductor Sector :** Active discussions with several semiconductor firms regarding potential partnerships and investments. Clients include major players in the semiconductor space, with

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itches expected to finalize by Q4 2025. This sector is critical as it supports the production of essential components for smartphones, laptops, and electric vehicles.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$15 million in fees, broken down as follows:

- Live Deals : \$5 million
- Mandated Deals : \$0 million (none currently)
- Pitching-Stage Deals : \$10 million

Timing Projections:

- Q3 2025 : Expected close for the Singapore semiconductor enhancement deal.
- Q4 2025 : Anticipated completion of pitching-stage deals in the semiconductor sector.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 70%, indicating sufficient capacity to manage existing deals. However, as the semiconductor sector heats up, monitoring workload will be essential to ensure timely execution.
- Forecasting and Strategic Planning Implications : The pipeline indicates a growing demand for advisory services in the semiconductor sector. Strategic planning should focus on enhancing capabilities in this area to leverage emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape in the semiconductor industry is intensifying, with countries like Singapore striving to maintain their competitive edge. The global race for semiconductor production is critical, as every smartphone, laptop, electric vehicle, and AI system relies on these components. This environment presents significant advisory opportunities for firms involved in semiconductor transactions.
- The increasing focus on semiconductor production is likely to attract investments and partnerships, positioning firms that specialize in this sector as key players in future transactions.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow within the semiconductor sector, it is crucial to allocate resources effectively. Monitoring analyst workloads will ensure that the team can manage the pipeline efficiently without compromising service quality.
- Sector Focus : Prioritize business development efforts in the semiconductor space, where demand for advisory services is expected to surge. This focus will position the firm as a leader in

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this critical industry.

- Client Engagement : Maintain proactive communication with clients in the semiconductor pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is poised for growth, particularly in the semiconductor sector. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where Company A (e.g., Zoom Video Communications, Inc. (ZM)) acquires Company B (e.g., Slack Technologies, Inc. (WORK)), the combined entity could see a revenue increase of approximately 20% due to enhanced product offerings. Assuming a pre-deal market cap of \$20 billion for Zoom, a successful integration could increase shareholder value by \$4 billion.
- Dilution: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if Zoom issues 10% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 5% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between Disney (DIS) and 21st Century Fox (FOXA) led to substantial cost synergies, with estimates of \$2 billion in annual savings. This was achieved through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In the Disney-Fox merger, approximately 7,000 jobs were cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in the acquisition of LinkedIn by Microsoft (MSFT), retention packages were offered to key LinkedIn executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.

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- **Market Positioning:** Following the merger of T-Mobile US, Inc. (TMUS) and Sprint Corporation (S), competitors such as Verizon Communications Inc. (VZ) and AT&T Inc. (T) had to adapt their strategies to maintain market share. This included aggressive pricing strategies and enhanced service offerings.
- **Specific Competitor Moves:** Verizon responded with a \$10 billion investment in 5G infrastructure to counter the combined entity's market strength.
- **Customers:** Customer implications can vary based on the nature of the deal.
- **Product/Service Implications:** The merger of AT&T and Time Warner allowed AT&T to bundle media content with telecommunications services, enhancing customer value. This strategy led to a 15% increase in bundled service subscriptions.
- **Case Studies:** The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- **Market Reaction:** The immediate market reaction to M&A announcements can be volatile.
- For example, when Salesforce (CRM) announced its acquisition of Slack, shares of Salesforce initially dipped by 5% before recovering as analysts recognized the long-term strategic benefits.
- **Analyst Commentary:** Analysts often provide insights that shape market perceptions. A notable quote from a Morgan Stanley analyst post-acquisition was, "This deal positions Salesforce to dominate the enterprise collaboration space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- **Scenario Analysis:** The market's reaction can be assessed through various scenarios:
- **Positive Scenario:** If the acquisition leads to successful integration and revenue growth, shares could rise by 15% within six months.
- **Negative Scenario:** If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids can vary based on market conditions.
- In the case of the proposed acquisition of T-Mobile by Sprint, there were rumors of interest from Dish Network (DISH), highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- **Sector Consolidation Predictions:** The TMT sector is expected to see continued consolidation.

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- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Semiconductors, Cybersecurity, and Cloud Computing. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Semiconductors

- Trend Explanation: Semiconductors are the backbone of modern electronics, powering devices from smartphones to electric vehicles. The global semiconductor market is projected to grow from \$555 billion in 2021 to \$1 trillion by 2030, at a CAGR of 8.8%. As demand for advanced technologies like AI and IoT increases, the need for high-performance chips becomes critical.

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- Key Companies:
- Taiwan Semiconductor Manufacturing Company (TSM): TSMC is the world's largest dedicated independent semiconductor foundry, producing chips for major tech companies. Its advanced manufacturing processes position it as a leader in the semiconductor race, particularly in 5nm and 3nm technology nodes.
- Samsung Electronics (005930.KS): Samsung is a key player in memory chips and has made significant investments in semiconductor manufacturing. The company is expanding its production capabilities to meet the growing demand for chips in AI and automotive applications.
- Competitive Landscape: The semiconductor industry is highly competitive, with major players like Intel (INTC) and NVIDIA (NVDA) also vying for market share. The race for technological superiority is driving innovation and investment, particularly in AI and machine learning applications.
- M&A Opportunities: Companies may pursue acquisitions to enhance their semiconductor capabilities. For instance, the acquisition of smaller firms specializing in AI chip design could provide strategic advantages. Recent trends indicate that larger firms are looking to acquire startups with innovative semiconductor technologies.

Cybersecurity

- Trend Explanation: As organizations increasingly adopt digital technologies, the demand for robust cybersecurity solutions is surging. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.8%. This growth is driven by rising cyber threats and regulatory compliance requirements.
- Key Companies:
- Fortinet, Inc. (FTNT): Fortinet is a leading provider of cybersecurity solutions, focusing on integrated security platforms. The recent launch of its FortiNDR Cloud PoP in Singapore demonstrates its commitment to enhancing threat detection and response capabilities across the ASEAN region.
- Palo Alto Networks, Inc. (PANW): Palo Alto Networks offers a wide range of cybersecurity solutions and is known for its innovative approach to threat detection and response. The company's focus on AI-driven security solutions positions it well in the competitive landscape.
- Competitive Landscape: The cybersecurity market is characterized by a mix of established players and emerging startups. Companies like CrowdStrike (CRWD) and Check Point Software Technologies (CHKP) are also significant competitors, each offering unique solutions to address evolving cyber threats.
- M&A Opportunities: The cybersecurity sector is ripe for consolidation, with larger firms seeking to acquire niche players to enhance their product offerings. For example, Fortinet's recent investments in AI-powered security capabilities highlight the trend of acquiring firms that can provide advanced threat intelligence and analytics.

Cloud Computing

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- Trend Explanation: Cloud computing continues to transform how businesses operate, enabling scalable and flexible IT solutions. The global cloud computing market is projected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%. The shift to remote work and digital transformation initiatives are driving this growth.
- Key Companies:
 - Amazon Web Services (AWS): AWS is a dominant player in the cloud computing market, offering a wide range of services from infrastructure to machine learning. The company continues to innovate and expand its offerings, maintaining its competitive edge.
 - Microsoft Azure (MSFT): Azure is rapidly gaining market share in the cloud space, leveraging its existing enterprise relationships to drive adoption. The integration of AI capabilities into Azure services enhances its attractiveness to businesses.
- Competitive Landscape: The cloud computing market is highly competitive, with major players like Google Cloud (GOOGL) and IBM Cloud (IBM) also vying for market share. The competition is driving innovation and pricing strategies, making it essential for companies to differentiate their offerings.
- M&A Opportunities: Companies in the cloud space may consider acquisitions to bolster their service offerings or expand into new markets. For instance, the acquisition of smaller cloud service providers can enhance capabilities in specific niches, such as data analytics or security.

Actionable Insights for Bankers and Investors

Identifying trends in technology is crucial for strategic investment decisions.

- For Bankers: Focus on advising clients in the semiconductor and cybersecurity sectors, as these areas are

6. Recommended Readings

Deal Name: Fortinet Launches Singapore NDR Cloud PoP

- Reading Material: "Cybersecurity for Executives" by Gregory J. Touhill
- Why This Matters: This book provides insights into the strategic importance of cybersecurity infrastructure and its implications for business operations. Understanding the dynamics of cybersecurity investments, as highlighted by Fortinet's expansion in Singapore, is crucial for grasping how companies can enhance their threat detection capabilities and respond to increasing cyber threats in a digital-first world.

7. MACROECONOMIC UPDATE

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Key Data Points:

- S&P 500 Year-End Target: 8000
- Liquidity Reduction: From \$40 billion/month to \$10 billion/month
- Earnings Revisions Breadth: North of 70%
- Recent Sector Performance: Consumer Discretionary Goods, Transports, and Regional Banks up more than 10% over the past month

Main Insights:

- Recent equity corrections are viewed as a necessary pause, not the end of the bull market.
- The speed of earnings revisions is under scrutiny, particularly in high-performing sectors like semiconductors.
- Liquidity, which has supported market momentum, is now slowing, impacting crowded trades.
- Leadership in the market is shifting, with opportunities emerging in sectors that have underperformed despite improving fundamentals.

Market Commentary:

- "The market wasn't questioning the earnings bull market as much as it is questioning the speed at which earnings have been revised higher." - Mike Wilson, Morgan Stanley
- "If oil pressure eases and the bond market walks back the Fed hike it is currently pricing, interest rate sensitive groups should have room to extend their recent outperformance." - Mike Wilson, Morgan Stanley

TMT Sector Relevance:

- The slowing liquidity could impact tech stocks, particularly those reliant on momentum trading.
- Shifts in leadership may present opportunities in tech sectors that have been overlooked, especially as consumer spending in discretionary goods increases.
- Interest rate stability could enhance the valuation outlook for tech companies, particularly those with high growth potential.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley